



**NEW MEXICO ASSOCIATION OF REALTORS® — 2025
ADDENDUM TO PURCHASE AGREEMENT
REAL ESTATE CONTRACT ADDENDUM NO. _____**



THIS FORM IS NOT A REAL ESTATE CONTRACT. It is an addendum to the NMAR Purchase Agreement which allows the parties to select, at the time the Purchase Agreement is signed, certain variable provisions of the Real Estate Contract. The Real Estate Contract itself has many other provisions in addition to the ones set forth below. **THIS ADDENDUM CANNOT BE USED AS A SUBSTITUTE FOR THE REAL ESTATE CONTRACT.**

! IMPORTANT NOTICE !

Effective January 2014, the Truth in Lending Act (TILA) has placed restrictions on seller financing. These restrictions apply to TRANSACTIONS SECURED BY A DWELLING. A **“dwelling” is defined as a residential structure that contains one to four units, whether or not that structure is attached to real property.** Sellers should review NMAR Form 2405 – Information Sheet – Seller Financing Under the Truth in Lending Act and consult with a real estate attorney, if necessary, to determine the applicability of these provisions to this transaction and if applicable, to ensure that they are in compliance with the TILA provisions.

This Addendum is made a part of the Purchase Offer dated _____ between _____ ("Buyer") and _____ ("Seller") and relating to the purchase of the following Property:

Address (Street, City, State, Zip Code)

Legal Description

or see metes and bounds description attached as Exhibit _____, _____ Count(ies), New Mexico. ("Property"). **The following terms and conditions shall be made a part of the above described Purchase Agreement and shall be incorporated in the Real Estate Contract which shall be signed and delivered at Closing.**

1. SELLER'S RIGHT TO APPROVE OF BUYER'S FINANCIAL QUALIFICATIONS – Check if applicable.

A. BUYER'S DOCUMENTATION. Buyer shall provide Seller with (check applicable):

- i. ☐ A current and complete financial statement to include, but not be limited to the following: Buyer's monthly income; Buyer's current or reasonably expected income or assets; proof of Buyer's current employment status; Buyer's monthly payment(s) on any other loan or loan-related obligations; Buyer's current debt obligations; and Buyer's monthly debt-to-income ratio or residual income; and/or
- ii. ☐ A current credit report.

B. FINANCIAL REVIEW PERIOD. If applicable, Buyer shall provide Seller with Buyer's Financial Qualifications within _____ days of this Agreement. Seller shall have the right to object to Buyer's Financial Qualifications within _____ days after receipt of this requested information from Buyer ("Financial Review Period"). If Seller does not approve of Buyer's Financial Qualifications during the Financial Review Period, Seller has the option to terminate this Agreement and Earnest Money shall be refunded to Buyer. If Seller does not APPROVE Buyer's financial qualifications in writing within the Financial Review Period, Seller shall be deemed to have DISAPPROVED of Buyer's Financial Qualifications. In this event, this Agreement shall terminate and earnest money shall be refunded to Buyer.

2. Buyer is purchasing as: ☐ **TENANTS IN COMMON** ☐ **JOINT TENANTS** ☐ **OTHER** _____

Broker is not permitted to advise as to how Buyer should take title. Seek the advice of an attorney if necessary.

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3. PRICE AND PAYMENT.

A. BUYER SHALL PAY: \$

CONTRACT SALE PRICE (Total of Down Payment, Assumed Prior Obligations and \$ _____
Balance Due Seller)
(_____ Dollars)

DOWN PAYMENT \$ _____
(_____ Dollars)

ASSUMED PRIOR OBLIGATIONS \$ _____
(_____ Dollars)

BALANCE DUE SELLER (including wrapped Prior Obligations) \$ _____
(_____ Dollars)

PAYABLE AS FOLLOWS:

B. **INTEREST ON BALANCE DUE SELLER.** Except as specifically stated to the contrary in the Balance Due Seller shall bear interest at the rate of _____ % per year (the "Interest Rate") from the Effective Date, and the payments shall be paid to Escrow Agent (named below) and continue until the entire Balance Due Seller plus any accrued interest due to Seller is fully paid.

C. **LATE CHARGES AND COLLECTION COSTS.** Buyer shall pay all late charges and all collection costs incurred on all Prior Obligations paid directly by Buyer or through Escrow Agent. A late charge of \$ _____ shall be due and payable by Buyer on any payment that is over _____ days overdue. Late charges shall be paid to Seller as additional interest.

D. **APPLICATION OF PAYMENTS ON BALANCE DUE SELLER.** Check only ONE of the following two paragraphs.

☐ **PERIODIC INTEREST.**

Payments received by Escrow Agent, excepting prepayments, shall be applied to regularly scheduled installments in the order in which payments are due and shall be credited as though the payments had been made on their respective due dates, first to interest and then to the Balance Due Seller.

☐ **DAILY INTEREST.**

Payments shall be applied as of the date of receipt by Escrow Agent, first to accrued interest then to the Balance Due Seller.

4. PRIOR OBLIGATIONS.

A. Each of the following Prior Obligations is currently outstanding on the Property:

Type of Lien or Obligation	Holder	Loan Number	Recording Data
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_____	_____	_____	_____
_____	_____	_____	_____
_____	_____	_____	_____



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B. IF ANY PRIOR OBLIGATIONS ARE CURRENTLY OUTSTANDING ON THE PROPERTY, CHECK THE APPLICABLE PARAGRAPH BELOW. ONLY THE CHECKED PARAGRAPHS SHALL APPLY.

ASSUMED PRIOR OBLIGATIONS.

i. ☐ PAID THROUGH ESCROW.

Buyer assumes and agrees to pay and perform the Prior Obligations in accordance with their terms. Buyer shall make the required payments on the Prior Obligations, together with the required payments on this Contract, to Escrow Agent, which shall remit the payments to the proper payee. Buyer shall advise Escrow Agent of any change in the amount of the payment due on any Prior Obligations. When the Balance Due Seller is fully paid, this Escrow shall terminate, and Buyer shall make the required payments on the Prior Obligations directly to the proper payee. This Paragraph applies to the following Prior Obligations:

ii. ☐ PAID DIRECTLY BY BUYER.

Buyer assumes and agrees to pay and perform the Prior Obligations in accordance with their terms. Buyer shall make the required payments on the Prior Obligations directly to the proper payee. If Buyer fails to pay the required payments before they become delinquent, Seller may pay the payment. Payment by Seller shall not be deemed a waiver of Buyer's default, and the amount paid by Seller shall be immediately due and payable to Seller and shall bear interest from date of payment by Seller until paid at the highest Interest Rate provided in Para. 3 (B). This Paragraph applies to the following Prior Obligations:

C. WRAPPED PRIOR OBLIGATIONS.

i. ☐ PAID THROUGH ESCROW.

Buyer does not assume and does not agree to pay the Prior Obligations. All required payments due on the Prior Obligations shall be remitted by Escrow Agent to the proper payee out of the payments on the Balance Due Seller. If Buyer fails to pay the required payments before they become delinquent, Seller may pay the payment. Payment by Seller shall not be deemed a waiver of Buyer's default, and the amount paid by Seller shall be immediately due and payable to Seller and shall bear interest from the date of payment by Seller until paid at the highest Interest Rate provided in Para. 3 (B). Upon payment of the Balance Due Seller, Seller shall obtain a release of the Property from the lien of the wrapped Prior Obligations. Seller shall notify the Escrow Agent of any changes in the monthly payment required by the mortgage servicer. Buyer shall pay all late payment penalties on the above-referenced lien. This Paragraph applies to the following Prior Obligations:

ii. ☐ PAID DIRECTLY BY SELLER.

Buyer does not assume and does not agree to pay the Prior Obligations. Seller shall be responsible for all payments required under the Prior Obligations and shall keep the Prior Obligations in good standing. Upon payment of the Balance Due Seller, Seller shall obtain a release of the Property from the lien of the wrapped Prior Obligations. This Paragraph applies to the following Prior Obligations:

 IMPORTANT NOTICE

Seller and Buyer do hereby acknowledge that the above- referenced lien(s) or obligation(s) contain a “Due on Sale” provision, which gives the mortgage/deed of trust holder the option to require immediate and full payment of the loan(s) in the event of sale or disposition of the property. The Seller and Buyer hereby agree that if the above-referenced mortgage/deed of trust holder elects to accelerate the unpaid balance of the above-described loan(s), the Buyer shall be fully responsible for the payment of all sums required on such loan(s) and all amounts so paid shall be credited to the unpaid principal balance and accrued interest on this contract. Seller shall notify buyer in writing of acceleration by the mortgage/deed of trust holder and Buyer shall have a period of 30 days after mailing of such notice to comply. failure of buyer to comply shall constitute a default under the terms of this Contract.



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5. **BUYER TO MAINTAIN PROPERTY.** Buyer shall maintain the Property in as good condition as on the Effective Date, excepting normal wear and tear. Buyer shall obey all applicable laws governing the use of the Property, including but not limited to environmental laws.
6. **BUYER TO MAINTAIN INSURANCE. Check applicable.**
- A. INSURANCE AMOUNTS.**
- i. **INSURABLE IMPROVEMENTS** upon the Property shall be insured against the hazards covered by fire and extended coverage in the amount of: **(CHECK EITHER PARAGRAPH (a) OR (b) BELOW)**
- a. ☐ \$ _____; **OR**
- b. ☐ Not less than the greater of the replacement cost of the improvements or the Balance Due Seller.
- ii. ☐ **LIABILITY INSURANCE** in an amount not less than \$ _____ shall be maintained with Seller as additional named insured.
- iii. ☐ **FLOOD INSURANCE** in an amount not less than \$ _____ shall be maintained with Seller as additional named insured.
- B. IF THERE ARE NO PRIOR OBLIGATIONS.** Buyer shall maintain insurance in accordance with Para. (6)(A). with an insurance company satisfactory to Seller. Such insurance shall be maintained for the benefit of Buyer and Seller as their interests may appear. Buyer shall furnish a copy of the insurance policy or certification of the insurance policy to Seller annually before expiration of existing insurance stating that coverage shall not be canceled or diminished without a minimum of 15 days prior written notice to Seller.
- C. IF BUYER IS ASSUMING A PRIOR OBLIGATION(S).** Buyer shall maintain insurance as required by the holder of the assumed obligation.
- D. IF BUYER IS WRAPPING A PRIOR OBLIGATION(S).**
- i. Buyer shall maintain insurance as required by the holder of the underlying obligation; AND
- ii. **IN ADDITION**, Buyer shall maintain insurance in accordance with Para. 6(A) with an insurance company satisfactory to Seller. Such insurance shall be maintained for the benefit of Buyer and Seller as their interests may appear.
- iii. For all insurance required by the Para. 6(D), Buyer shall furnish a copy of the insurance policies or certificate of the insurance policies to Seller annually before expiration of existing insurance stating that coverages shall not be canceled or diminished without a minimum of 15 days prior written notice to Seller.
7. **TAXES.** If permitted by the applicable assessor, Buyer shall have the property assessed for taxation in Buyer's name.



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8. PAYMENT OF INSURANCES AND TAXES. Check applicable.

- A. ☐ NEW ESCROW/IMPOUND ACCOUNT - If there is NO Prior Obligation or the holder of the Prior Obligation has NOT already established an impound/escrow account.**

In addition to the periodic payments, the Buyer shall remit to the Escrow Agent (as set forth in Para. 15) with each such payment a prorated amount for the payment of **[Check Applicable Paragraphs Below]**:

☐ **ANNUAL PROPERTY TAXES**

☐ **ANNUAL INSURANCE PREMIUMS**

The sum may be adjusted for increases and/or decreases in taxes and/or insurance as determined by the Escrow Agent. The Escrow Agent shall use said funds as required to pay taxes and applicable insurance premiums as they become due.

If an escrow/impound account is being established for the payment of future property taxes and/or insurance, the Title Closer shall deliver the amount of prorated taxes to the Escrow Agent at funding. The Escrow Agent shall use these sums to establish a new escrow/impound account for the Buyer. The prorated taxes shall not be a credit to the Buyer to offset closing costs.

- B. ☐ EXISTING ESCROW/IMPOUND ACCOUNT - If an Impound Account has already been established by the holder of a Prior Obligation, WITH OPTION OF NEW ACCOUNT FOR ADDITIONAL INSURANCE.**

In addition to the periodic payments, the Buyer shall remit to the Escrow Agent with each such payment a prorated amount for the payment of **[Check Applicable Paragraphs Below]**:

☐ **ANNUAL PROPERTY TAXES**

☐ **ANNUAL INSURANCE PREMIUMS**

The sum may be adjusted for increases and/or decreases in taxes and/or insurance as determined by the underlying obligation. The underlying obligation shall use said funds as required to pay taxes and applicable insurance premiums as they become due. Any existing underlying financing which has an Escrow/Impound account shall be kept current as required by the lender. In the Event any shortage notice is delivered to the Seller, Buyer shall be responsible for payment of any shortage.

☐ **ADDITIONAL NEW ESCROW/IMPOUND.** In addition to the periodic payments and the payments for taxes and insurance as provided in Para. 8 (B) above, the Buyer shall remit to the Escrow Agent with each such payment a prorated amount for the payment of the additional insurance policy set forth in Para. 6 (D).

- C. ☐ DIRECT PAYMENT OF PROPERTY TAXES AND INSURANCE PREMIUMS**

Buyer shall be responsible for payment of property taxes and insurance and shall provide proof of payment to the Seller if not paid through escrow. **Escrow Agent shall have no obligation to confirm taxes and/or insurances have been paid and shall have no obligation to monitor the account to confirm Buyer has submitted proof of payment.**

9. HOMEOWNER/CONDOMINIUM ASSOCIATION FEES. Buyer shall pay all Homeowner or Condominium Owner Association dues and assessments as follows:

A. PAID:

☐ Directly to Homeowner Association or Condominium Association.

☐ To Escrow Agent. If paid quarterly, semi-annually or annually, unless otherwise indicated, amount to be divided between the number of payments made to Escrow Agent.

B. CURRENT DUES \$ _____

C. TO BE PAID:

☐ **MONTHLY ON _____ OF MONTH**

☐ **QUARTERLY BY _____**

☐ **YEARLY BY _____**

☐ **OTHER _____**

Dues may be adjusted for increases and/or decreases determined by the Escrow Agent. The Escrow Agent shall use said funds as required to pay Homeowner or Condominium - Owner Association dues as they become due. Assessments shall be billed as they become due.

D. CONTACT INFORMATION.

Homeowner /Condominium Owner Association Name: _____

Address: _____

Phone: _____ Email: _____



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10. BUYER'S RIGHT TO SELL, ASSIGN, CONVEY, OR ENCUMBER. A sale, assignment, conveyance or encumbrance of all or any portion of Buyer's interest in this Contract or the Property to any person or entity (an "Assignee") constitutes a Transfer under this Contract. **(Check applicable)**

- A. ☐ **SALE WITHOUT CONSENT OF SELLER.** A Transfer to an Assignee shall not require the consent of Seller. Buyer shall not, however, be released from Buyer's obligations under this Contract by any Transfer under this Paragraph. Buyer shall deliver a copy of the written evidence of the Transfer (the "Transfer Document") to Escrow Agent.
- B. ☐ **NO SALE WITHOUT CONSENT OF SELLER. CAUTION: THE FOLLOWING PARAGRAPH SEVERELY RESTRICTS THE RIGHT OF BUYER TO TRANSFER THIS CONTRACT AND THE PROPERTY.** A Transfer without payment of the Balance Due Seller shall require obtaining the prior written consent of Seller, which Seller shall not unreasonably withhold. A Transfer without payment of the Balance Due Seller, and without the prior written consent of Seller, shall be an event of default for which Seller shall have the right to send a Default Notice pursuant to Para. 12 and to demand payment of the Balance Due Seller.

Caution: If the Property is subject to any Prior Obligations, the provisions of such Prior Obligations should be examined carefully for any conflict with this Para. 10.

11. TITLE INSURANCE OR ABSTRACT. Seller is delivering a Contract Purchaser's Title Insurance Policy to Buyer or Abstract of Title to Escrow Agent at the time this Contract is escrowed, showing insurable or marketable title to the Property as of the Effective Date, subject to the Permitted Exceptions, and Seller is not obligated to provide other evidence of title.



BEFORE CLOSING THIS CONTRACT WITHOUT CONDUCTING A TITLE, JUDGMENT AND LIEN SEARCH AND OBTAINING TITLE INSURANCE, BUYER AND SELLER BE AWARE:

FOR BUYER: TITLE INSURANCE PROTECTS BUYERS AGAINST ANY LOSS OR DAMAGE THEY MIGHT SUFFER DUE TO EXISTING LIENS, ENCUMBRANCES OR DEFECTS IN THE TITLE TO THE PROPERTY. SUCH DEFECTS IN TITLE MAY IMPACT A BUYER'S ABILITY TO RE-FINANCE THE PROPERTY AND/OR SELLER'S ABILITY TO CONVEY CLEAR LEGAL TITLE TO THE PROPERTY ONCE BUYER FULFILLS ALL OBLIGATIONS OF THIS CONTRACT.

NOTE: THE POLICY SELLER OBTAINED WHEN SELLER PURCHASED THE HOME DOES *NOT* EXTEND TO BUYER. BUYERS SHOULD CONSULT WITH A REAL ESTATE ATTORNEY BEFORE WAIVING TITLE INSURANCE.

BUYER'S INITIALS _____

FOR SELLER: IF BUYER HAS EXISTING JUDGMENTS AND/OR LIENS WHEN ENTERING INTO THIS CONTRACT, THOSE JUDGMENTS AND/OR LIENS CAN AUTOMATICALLY AND IMMEDIATELY ATTACH TO BUYER'S EQUITABLE INTEREST IN THE PROPERTY AND IN THE EVENT OF BUYER'S DEFAULT, MAY REMAIN WITH THE PROPERTY WHEN SELLER TERMINATES BUYERS' INTEREST IN THE PROPERTY (TAKES BACK THE PROPERTY.)

SELLER'S INITIALS _____



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12. DEFAULT.

- A. **Time Period for Cure.** Unless otherwise noted below, Buyer shall have 30 days after written notice of Default is mailed to cure the default. **BUYER'S FAILURE TO CURE A DEFAULT SHALL RESULT IN TERMINATION OF BUYER'S EQUITABLE INTEREST IN THE PROPERTY OR ACCELERATION OF THE BALANCE DUE SELLER.** Other: _____ DAYS to cure default. NOTE: Number of days may be MORE than 30 days, but may NOT be less than 30 days.
- B. **Buyer's Address:** The Default Notice shall be sent to Buyer at the following address: _____

Buyer may change this address by delivering a signed, written change of address notice to the Escrow Agent.

13. **COUNTY CLERK FILING.** The Title Company is directed to file the following document with the County Clerk's Office in the county in which the Property is located. If neither is selected, the Real Estate Contract shall be filed.

☐ REAL ESTATE CONTRACT ☐ MEMORANDUM OF REAL ESTATE CONTRACT

14. **ESCROW AGENT AND FEES.**

- A. **ESCROW AGENT** shall be: _____
- B. In addition to a copy of the Real Estate Contract, the original General Warranty Deed and the original Special Warranty Deed ("Real Estate Contract Documents"), the Escrow Company shall hold the following documents:
- ☐ WATER STOCK CERTIFICATE
- ☐ OTHER _____
- ☐ OTHER _____

Parties shall confirm with Escrow Agent that Escrow Agent is willing to hold any documents beyond the Real Estate Contract Documents, Memorandum of Real Estate Contract if applicable and deeds.

- A. Escrow Fees shall be paid as follows: ☐ **BUYER** ☐ **SELLER** ☐ **OTHER** _____
- B. Escrow Agent shall accept all amounts paid in accordance with this Contract and remit the amounts received (less applicable escrow fees) to underlying obligations, taxes, and other fees in accordance with this Contract. Remaining amounts to be remitted as follows. Seller may change disbursement instructions below with signed, written notice to Escrow Agent.
- i. ☐ **SELLER(S).** ☐ **ONE CHECK TO SELLER(S)**
☐ **INDIVIDUAL DISBURSEMENT TO EACH SELLER AS INDICATED BELOW.** Include all Sellers, and their addresses, entitled to payment and indicate amounts or percentages to each Seller.
- _____
- _____
- _____
- _____
- ii. ☐ **OTHER** _____



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15. OTHER TERMS OF THE CONTRACT.

ACKNOWLEDGMENT: Seller and Buyer recognize, acknowledge and agree that any real estate brokers involved in this transaction are not qualified, nor licensed, to: (a) determine the Buyer's credit-worthiness; (b) ensure that the terms of this Contract comply with state and federal law; or (c) to give legal advice pertaining to the terms of this Contract. Seller and Buyer are instructed to consult with qualified licensed professional, including, but not limited to a licensed New Mexico real estate attorney, to ensure the terms of this Contract comply with state and federal law. Because ensuring compliance with this law and providing legal advice is beyond the scope of a real estate broker's expertise and licensing, Seller and Buyer expressly release and hold harmless any broker(s) involved in this transaction from liability for any violations that could have been avoided/discovered by consultation with qualified licensed professionals.

 IMPORTANT NOTICE

THE REAL ESTATE CONTRACT SHALL BE DRAFTED BASED ON THE TERMS PROVIDED HEREIN AND SHALL INCLUDE ADDITIONAL TERMS. BEFORE SIGNING, BUYER AND SELLER ARE ADVISED TO CONFIRM THESE TERMS ARE ACCURATELY REFLECTED IN THE FINAL REAL ESTATE CONTRACT AND TO FAMILIARIZE THEMSELVES WITH THE ADDITIONAL TERMS OF THE CONTRACT. FOR ADDITIONAL TERMS TYPICALLY FOUND IN A REAL ESTATE CONTRACT, NMAR FORM 2401 – REAL ESTATE CONTRACT.

BUYER

_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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SELLER

_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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